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STAFF MEMO

Date: April 7, 2025

To: Board of Education

From: Dan Jung, Chief Operating Officer
Stormy Shanks, Senior Director, Office of School Modernization

Subject: High School Modernization Cost Analysis

In April and May 2024, the Board of Education (Board) approved comprehensive plans for Cleveland High School (CHS)[1] and Ida B. Wells High School (IBW)[2] and authorized an update to the comprehensive plan for Jefferson High School (JHS).[3]

In November 2024, concerns over the total project costs led to the suspension of the design phases of all three modernization projects. At that time, the Board requested a comparison of project costs, including a detailed cost comparison report.[4]

On February 11, the Board provided Staff with guidance in the form of a cost reduction "framework." The framework outlines general directions for reducing project costs.[5]

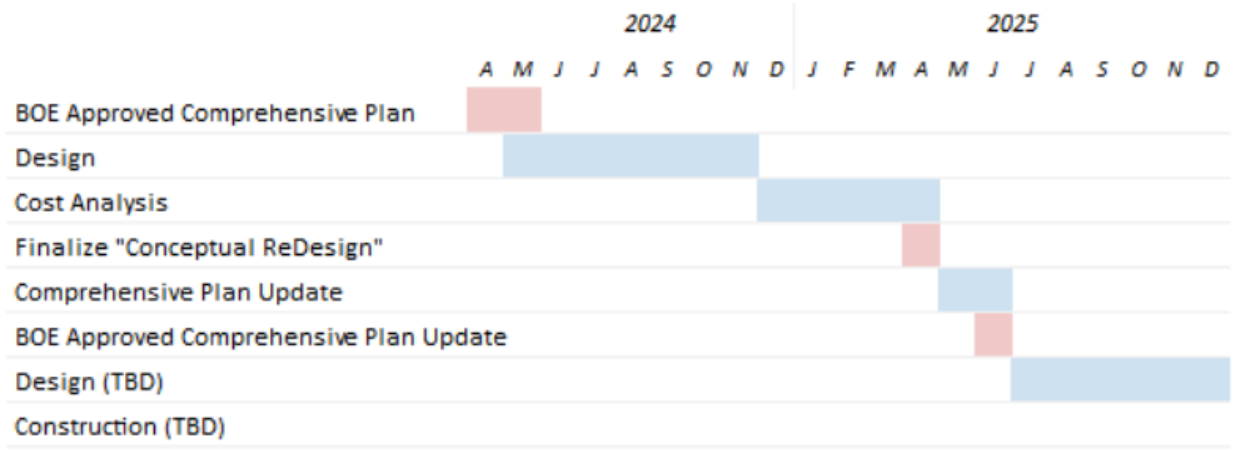
On March 4 the Board approved Resolution No. 7067[6] requiring that Staff return to the Board on March 18, April 8, and April 22 with progress updates.

On March 18, 2025 Staff presented project updates based on the Board's cost reduction framework.

Staff aim to secure the Board's general approval of the redesign and cost reduction options by the April 22, 2025 meeting. After which, the project teams will finalize design changes sufficient to submit them for third-party construction cost estimates to obtain updated project costs. Staff will then return to the Board with updated comprehensive plans that include the scope, schedule, and budget for each project for the Board's approval. The following chart illustrates the general process:

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[1] Resolution 6901
[2] Resolution 6900
[3] For further details, see Board materials from May 7, 2024 and April 2, 2024
[4] PPS HS Cost Comparison, and Staff Memo: High School Cost Comparison Report
[5] For further details, see Board materials from February 11, 2025
[6] Resolution 7067



Note: the timing and duration of the later project stages, including design and construction, are dependent on the cost reduction options approved by the Board. Schedule details will be provided with the updated comprehensive plans.

Project Updates

The combined projects are currently forecasting total savings ranging from $67 million to $33 million.

Please be advised that these estimates are preliminary and subject to change. The figures provided are based on rough order of magnitude cost estimates from the project teams. Several factors may influence these projections, including potential schedule delays, escalation changes, and tariff fluctuations. Additionally, the teams are actively reviewing project details to identify further cost-saving opportunities. Areas under ongoing evaluation include project logistics, materials selection, LEED certification, and the scope of work prior to construction, among others.

Cost Reduction Summary Table

	Current Project Budget	**Cost Analysis ROMs**			**Preliminary Savings**		
	A	*B*		*C*	*D (A - B)*		*D (A - C)*
Cleveland High School	$469	$450	-	$462	$19	-	$7
Ida B Wells High School	$455	$440	-	$452	$15	-	$3
Jefferson High School	$491	$458	-	$466	$33	-	$25
	$1,415	**$1,348**	**-**	**$1,380**	**$67**	**-**	**$35**

2025 GO Bond

The current combined estimated total project cost ranges from $1.348 billion to $1.380 billion. Of this, $406 million is funded through the 2020 General Obligation (GO) Bond. As a result, the remaining funding required for the projects is between $942 million and $974 million. The proposed 2025 GO Bond allocates $1.150 billion for modernization projects, **leaving a balance of $208 million to $176 million for additional modernization initiatives.**